

Power Church + UA Theater

Building Committee Decision Packet

Date: 2026-05-04 **Prepared by:** Angel Mendoza, Building Committee **Audience:** Power Church Building Committee **Decision required:** Which acquisition structure to pursue + authorization for next steps

ONE PAGE: WHAT WE'RE ASKING THE COMMITTEE TO DECIDE

We have an opportunity to acquire the vacant United Artists movie theater at **8275 W Amarillo Blvd**, an 83,422 sq ft fully built commercial facility that's been empty 2.5 years. The asking price is \$5.5M and the listing broker is Deeter Prater of Llano Realty.

The original new-construction plan came back at \$6.8M to \$7M for a 32,000 sq ft sanctuary. The UA Theater gives us **two and a half times the building** at a comparable all-in cost, with a full kitchen, sloped sanctuary already framed, a parking lot already paved, and infrastructure already in place. Move-in ready in 9 to 12 months instead of 24+.

Bank capacity confirmed at \$2M for a construction loan. That eliminates a full \$4M term-loan structure and leaves us with two viable financing paths, both built around a \$2M bank construction loan:

1. **Scenario A: Seller Carry \$2M + Bank Construction \$2M.** Lowest year-zero cash, cleanest refi exit math. **Recommended primary path.**
2. **Scenario C: Master Lease + \$2M Bank Construction + Buyout at \$3.8M.** Safer operationally (church can walk if it goes sideways); refi exit needs \$1M to \$1.5M of pledge capital. **Recommended fallback.**
3. **Scenario B (eliminated): Full \$4M Bank Term Loan + Fundraise \$2M.** Bank capacity for the church is \$2M, not \$4M. This structure is no longer on the table. Documented below for completeness.

Our recommendation: lead with Scenario A. Fall back to C if the seller declines carryback.

The single most decisive next step is a 15-minute call to Deeter Prater asking whether the seller will carry or master-lease. The committee's vote today is twofold: 1. **Greenlight the recommended sequence** (call Deeter, get GC bid, build the bank submission package) 2. **Authorize Pastor Manny + Angel** to negotiate within the parameters of Scenarios A and C

WHY THE UA THEATER (NOT THE NEW BUILD)

The original ground-up build penciled at \$6.8M to \$7M for 32,000 sq ft (Caprock quote). We were approved at roughly \$1M of bank capacity. The gap is \$5.8M to \$6M of fundraising or additional debt capacity that doesn't exist.

The UA Theater changes the equation:

	New Build	UA Theater
Square footage	32,000	83,422
Total cost	\$6.8M-\$7M	\$5.5M list + \$2M reno = \$6M-\$7.5M (negotiable to \$4M + \$2M = \$6M)
Cost per sq ft	\$213/sqft	\$72/sqft (post-reno)
Time to occupancy	24+ months	9-12 months
Anchor amenities	Build everything	Theater seating sloped floor, kitchen, parking lot, HVAC, sprinkler all in place
Resale risk	Lower (new)	Higher (special-purpose, 2.5 years vacant)
Multi-stream income capacity	Limited	High (auditorium, lobby, classrooms, kitchen all rentable)

The UA Theater is bigger, faster, cheaper per sq ft, and allows us to operate **nine independent revenue streams** that the new build cannot. The trade-off is special-purpose risk on the asset itself, which we mitigate through the 9-stream income model.

THE THREE SCENARIOS

Inputs we used (flag any wrong)

- **Negotiated purchase:** \$4.0M (Scenarios A and B) or \$3.8M (Scenario C)
- **Renovation cost:** \$2.0M placeholder pending real GC bid
- **Existing church net:** \$25K/mo
- **Construction timeline:** 12 months base case
- **Bank rate:** 7.5% term, 8.0% construction IO
- **Seller carry rate:** 6.0% IO with 24-month balloon
- **Master lease rate:** \$3/sqft annual gross = \$20,856/mo

Scenario A: \$2M Seller Carry + \$2M Bank Construction Loan

At close: \$0 down (best case). Seller carries \$2M IO at 6%; bank funds \$2M construction loan IO at 8%.

During construction (12 months): - Seller IO: \$10,000/mo - Bank IO: \$13,333/mo - Vacant-shell carrying: \$5,000/mo - SE 10th Ave existing: \$5,000/mo - **Total: \$33,333/mo** - vs \$25K church net (existing only): \$8,333/mo deficit, fixable with \$100K pre-close construction reserve OR deferred-interest carryback

At month 13 (refi): Permanent loan target \$4.12M. Needs \$5.49M ARV at 75% LTV. Replacement cost basis is \$7.26M minus 20-30% special-purpose discount = ARV range \$5.08M to \$5.81M. **Feasible if appraisal lands middle to top of range.**

Permanent state: \$4.0M at 7.5% / 25-yr = \$29,565/mo P&I + \$4K escrow = \$33K/mo PITI. With Conservative tier supplementary income (Layer 2: ~\$25K/mo additional net), total available is \$50K/mo. **Comfortable coverage.**

Risk: MEDIUM. Hinges on (1) seller agrees to carry, (2) appraisal clears \$5.5M, (3) supplementary income ramp begins.

Scenario B (ELIMINATED): \$4M Bank Term Loan + Fundraise \$2M

Bank capacity for Power Church is \$2M for a construction loan, not \$4M for a full term loan. This structure is no longer on the table. We document the math here briefly so the committee can see why it was considered and rejected:

- \$4M PITI on a 25-year amort at 7.5% = \$33,565/mo
- Vacant-shell + SE 10th carrying = \$10,000/mo
- Pre-reno deficit vs \$25K net = \$18,565/mo
- Required: \$1M-\$2M major-donor commitment pre-close OR concurrent sale of SE 10th Ave

The bank's \$2M ceiling and the structural deficit eliminate this path. Moving on.

Scenario C: Master Lease + \$2M Construction Loan + Buyout at \$3.8M

At close: \$50K-\$100K cash (lease deposit, construction loan closing, contingency).

During construction (12 months, no rent abatement): - Master lease: \$20,856/mo - Construction IO: \$13,333/mo - SE 10th Ave: \$5,000/mo - **Total: \$39,189/mo** - vs \$25K net: \$14,189/mo deficit

With rent abatement during reno (the negotiation lever that makes this work): - 6 months full abatement: \$3.8K/mo average deficit - 12 months full abatement: \$6.7K/mo SURPLUS during construction year

At lease end (refi to permanent): Loan target \$5.98M. Needs \$7.97M ARV at 75% LTV. **Refi gap of \$1M-\$1.5M** unless church brings pledged capital to refi closing OR appraisal lands top of range.

Walkability advantage: if reno overruns, congregation doesn't grow, or appraisal disappoints, church walks from the lease without a \$4M deficiency on a special-purpose asset.

Risk: MEDIUM-LOW operationally, MEDIUM-HIGH on refi-completion.

How the supplementary income model changes everything

The 9-stream commercial revenue model tightens DSCR coverage at every layer. Even at the conservative tier, supplementary monthly net of roughly \$25K (50% margin on \$39.5K gross commercial revenue) doubles the church's deployable capacity from \$25K to \$50K/mo. At moderate tier, deployable goes to \$75K-100K/mo. **Each tier de-risks the prior scenario substantially.**

Tier	Total monthly gross	Supplementary monthly net	Combined deployable
Layer 1 (existing only)	\$100K	\$0	\$25K
Layer 2 (Conservative)	\$139.5K	~\$25K	~\$50K
Layer 3 (Moderate)	\$200K-\$300K	~\$50K-\$75K	~\$75K-\$100K
Layer 4 (Optimized)	\$300K-\$450K+	~\$100K-\$175K	~\$125K-\$200K+

For underwriting, banks typically credit only Year-0 documented income. The supplementary income is the upside case, not the base case. **This is why our recommendation leads with the structure (Scenario A) where the BASE case still works at \$25K/mo, and treats supplementary income as cushion.**

THE 9-STREAM REVENUE MODEL (operations team summary)

The 88,000 sq ft (rounded; actual 83,422) facility supports nine independent commercial streams. At conservative tier, these add \$39.5K/mo of gross revenue on top of the existing \$100K/mo in tithes:

#	Stream	Conservative monthly	Moderate monthly	Strong monthly
1	Event Venue (weddings, private)	\$8,000	\$40K-\$80K	\$80K-\$125K
2	Conference & Corporate Rentals	\$8,000	\$20K-\$50K	\$50K-\$100K
3	Coffee Shop	\$8,000	\$25K-\$50K	\$50K-\$80K
4	Office & Space Leasing	\$5,000	\$10K-\$20K	\$20K-\$30K
5	Classes, Workshops & Programs	\$4,000	\$15K-\$25K	\$25K-\$40K
6	Youth & After-School Programs	\$3,000	\$10K-\$18K	\$18K-\$25K
7	Media / Studio Rentals	\$1,500	\$10K-\$18K	\$18K-\$25K
8	Merchandise & Product Sales	\$2,000	\$8K-\$15K	\$15K-\$25K
9	Core Operating Revenue (tithes)	\$100,000	\$100K+	\$150K+
	Total	\$139,500	\$200K-\$300K	\$300K-\$450K+
	Annualized	\$1.7M	\$2.4M-\$3.6M	\$3.6M-\$5.4M+

Risk profile: Diversification across nine independent streams insulates the church from any single-channel downturn. Weekday/weekend cycles are complementary. Industry tailwinds support every projection (US wedding industry is \$66B annual, hybrid corporate event space remains in demand, experiential coffee continues year-over-year growth).

OUR RECOMMENDATION TO THE COMMITTEE

- 1. Lead with Scenario A (Seller Carry + \$2M Bank Construction).** It's the only structure where the refi exit at \$5.49M ARV is plausible against the special-purpose discount range. Construction-phase deficit is small and fixable with a \$100K pre-close reserve OR a deferred-interest carryback.
- 2. Fall back to Scenario C (Master Lease + \$2M Bank Construction) if the seller declines carryback.** The master-lease-with-rent-abatement structure preserves walkability. Refi exit needs \$1M-\$1.5M of pledged capital at month 13.
- 3. The single most decisive next step is a 15-minute call to Deeter Prater.** Two questions:

- Will the seller entertain \$4M effective price with \$2M carryback IO and 24-month balloon?
- Will the seller entertain a master lease at \$3/sqft gross with rent abatement during construction and option to buy at \$3.8M?

The seller's answer narrows the two scenarios to one and saves a week of debate.

WHAT WE NEED FROM THE COMMITTEE TODAY

1. **Vote on path forward:** Greenlight the Scenario A primary / Scenario C fallback approach.
 2. **Authorize negotiation parameters:** Pastor Manny and Angel are authorized to negotiate within the bounds of Scenarios A and C as outlined. Final terms return to the committee for ratification.
 3. **Authorize the GC bid solicitation:** Get a real theater-to-sanctuary conversion bid from Crown House Texas Partners and one independent contractor. Choose lower-risk option.
 4. **Approve preparation of bank submission package** to Jerome Pratt (First State Bank Spearman) once Deeter responds.
 5. **Approve the lead-donor outreach** to identify a \$500K-\$1M anchor gift commitment. Optional but de-risks every scenario.
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OPEN QUESTIONS THE COMMITTEE NEEDS TO RESOLVE

1. **Borrower entity.** Power Church 501(c)(3) directly, or an Angel-controlled LLC that the church leases from? Tax exemption is \$80K-\$120K/yr difference; bank product applies differently. **This is the biggest open question and should be settled today.**
 2. **The original "\$1M approved" figure.** Is that Jerome Pratt's existing pre-approval, or a separate church-level approval at a different bank? The committee should clarify in writing what amount is currently approved and at what terms.
 3. **Power Church P&L for 2024 and 2025.** The bank will need 2-3 years of statements to underwrite. Treasurer should pull these into clean format.
 4. **SE 10th Ave existing campus.** Owned outright, leased, or mortgaged? Annual carrying cost? Does the committee envision selling concurrent with closing, or running both buildings during the transition?
 5. **Crown House Texas Partners conflict disclosure.** Angel's GC entity is the natural candidate for the renovation. The committee should formalize related-party disclosure procedures and require an independent comparison bid.
 6. **Capital campaign launch timing.** A formal congregation-wide campaign for \$1M-\$1.5M of construction-phase reserve and refi-cushion capital. Best to launch concurrently with the Deeter call so we're not asking Pratt for terms we can't back with congregation commitment.
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TIMELINE (proposed)

- **Week 1 (this week):** Deeter Prater call. Borrower-entity decision. Committee ratifies path forward.
 - **Week 2:** GC bids out (Crown House + one independent). Capital campaign quiet phase opens.
 - **Week 3-4:** Deeter responds; scenario locks. Power Church P&L assembled. Sponsor PFS updated.
 - **Week 5-6:** Bank submission package to Jerome Pratt. Major-donor solicitation.
 - **Month 2:** Bank term sheet expected. Committee ratifies. LOI to seller.
 - **Month 3-4:** Due diligence, appraisal, environmental, title.
 - **Month 4-5:** Close.
 - **Month 5-17:** Renovation.
 - **Month 18:** Certificate of occupancy. Refi to permanent. Move in.
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APPENDIX A: SUPPORTING MATH

Scenario A construction-phase reconciliation: - Seller IO: $\$2M \times 6\% / 12 = \$10,000/\text{mo}$ - Bank IO: $\$2M \times 8\% / 12 = \$13,333/\text{mo}$ - Total interest-only: $\$23,333/\text{mo}$ - + \$5K vacant-shell + \$5K SE 10th = $\$33,333/\text{mo}$ - Deficit vs \$25K net = $\$8,333/\text{mo} \times 12 \text{ mo} = \$100K$ cumulative

Permanent loan PMT (25-year amort, 7.5%): - \$4.0M loan: $\$29,565/\text{mo}$ - \$5.98M loan: $\$44,196/\text{mo}$

ARV thresholds at 75% LTV: - Scenario A target: $\$5.49M$ - Scenario C target: $\$7.97M$

Replacement cost reference for special-purpose appraisal: - $83,422 \text{ sqft} \times \$87/\text{sqft} = \$7.26M$ - 20% special-purpose discount = $\$5.81M$ - 30% special-purpose discount = $\$5.08M$

APPENDIX B: COMPANION DOCUMENTS

- **Bank Submission Package:** `power-church-bank-submission-2026-05-04.md` (formal commercial loan proposal for Jerome Pratt)
 - **Seller Pitch:** `power-church-seller-pitch-2026-05-04.md` (warm letter to Deeter Prater + 1-page deal terms)
 - **Pro Forma Detail:** `power-church-ua-theater-proforma-2026-05-04.md` (full sensitivity tables, full math)
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Prepared in service of the church and our shared vision. To God be the glory.